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THE JAPANESE BUSINESS ASSOCIATION IN VIETNAM

No: 18/2017JBAV

Ref: Draft of Law on Technology Transfer (revision)

SOCIALIST REPUBLIC OF VIETNAM

Independence –Freedom- Happiness

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Hanoi, 02th June 2017

Respectfully to: Ministry of Science & Technology

First of all, the Japan Business Association in Vietnam ("JBAV") would like to express our sincere thanks to the Ministry of Science & Technology for openning the consultation on Draft Law amending and supplementing some articles of the Law on Transfer Technology 2006 (hereinafter referred to as the "Draft Law").

After researching and comparing with the practice of our members, in order to comply with the law and avoid any shortcomings in implementation, we have several concerns as follows:

Firstly, the new draft law has amended Point b, Paragraph 1, Article 11. "The transfer of restricted technology" as follows:

1. Restrictions on technology transfer from abroad into Vietnam and transfer within the territory of Vietnam in one of the following cases:

...

b) Technology, machinery and equipment are no longer widely used in developed countries;

According to the above-mentioned regulation, the technologies and machines that are no longer widely used in developed countries will be a basis for assessing restricted technology. We are aware that the Government will introduce a List of restricted technologies, but the basis for considering *"no longer widely used in developed countries"* is difficult to assess and is not consistent with the actuality of technology transfer in Vietnam, causing difficulties for enterprises to understand and apply in practice.

Additionally, there is no definition of "developed country" which causes the difficulties for applying the restriction. It is also unclear whether the restriction would apply where technology, machinery and equipment are no longer widely used in two developed country, three developed countries, or all developed countries. This should be interpreted that such technology, machinery and equipment are no longer widely used in any developed country.

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Although we propose to delete this provision, alternatively, we suggest the provision with following wordings: "*Technology, machinery and equipment are no longer ~~widely~~ used in **any** developed country.*" with a clear definition of "developed country".

Secondly, the Draft of Law referred to in Paragraph 3, Article 27 on "Price and method of payment of technology transfer" as follows:

3. Technology transfer in the following cases must be audited for transfer technology prices and comply with the law on tax and price:

a) Between parties to which one or many parties have state capital;

b) Between the parties which have parent – subsidiary relationship;

c) Between parties which are affiliates.

With this provision, we do not know how the technology transfer price auditing will be conducted at a time and in what manner, by which agency. Specifically:

If the audit is conducted prior to the time of registration of the technology transfer, whether the process and results of the audit will affect the registration procedure for obtaining the certificate or not.

Regarding the method and authority to conduct the audit, this provision mentions the audit to be conducted in accordance with the tax and price law, however, it is a separate provision of the Technology Transfer law, we are concerned if the audit will be carried out as part of the tax inspection, or it will be a seperated item of Technology Transfer Law conducted by MOST. This regulation may cause duplication and conflict between inspection agencies, as well as inconsistent with the Inspection Law 2010 and the Prime Minister's Directive No.20 CT-TTg dated May 17, 2017 to refine the inspection and examination activities for enterprises.

We propose the Ministry to guide and clarify the requirements for auditing the transfer technology in the guiding documents so that enterprises and competent authorities will have a basis for implementation.

Thirdly, regarding the registration of technology transfer, as stipulated in Article 31 of the Draft, which requires technology transfer contracts to be registered if belongs to the cases. In addition, the Clause 1, Article 33 requires enterprises when extend, supplement or modify the contents of contracts, shall have to *"send extension, amendment and / or amendment contracts to the agencies which issued the papers Certification of registration of technology transfer contracts to be granted Certificates of extension registration, amendment or modification of contracts."*

We understand that the registration of technology transfer is for the purpose of state management of technology transfers, avoiding fraud, transfer pricing, tax evasion... However, it is necessary to have a clear criteria to determine which case the addition and/or amendment of contracts

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must be submitted. Having to register any and every amendments would take time of enterprise, while the contents of the contracts express the rights of agreement from both parties, includes the correction and amendments.

We propose MOST to consider only the major changes affecting the management such as duration, price and type of technology will be subjected to implement this procedure. In addition, the registration of contracts can be convenient for management, but can cause difficulties for enterprises during the negotiation and implementation of contracts since there are many regulations on registration procedures as well as supervision.

Finally, according to Clause 4, Article 31 on Registration of technology transfer:

4. Within seven (07) working days after receiving complete and valid dossiers, the State management agencies in charge of science and technology shall have the competence to consider and grant the technology transfer registration certificates. .

Although the latest Draft shortened the leadtime for consideration and granting of the Certfication to 07 working days, the provisions on the competence of authorities to *consider and decide* on the granting of a technology transfer registration certificate causing the contractual risks to the involved parties, due to the the dependence on the registration procedure, while the validity of the contract is agreed by the parties.

We propose to shorten the leadtime to 3 working days in order to simplify administrative procedures, in accordance with the policies of the National Assembly and the Government, as well as to ensure the interests of the involved parties when signing contracts.

Above are some of our questions regarding the Draft Law amending and supplementing the Law on Technology Transfer. In the mean time, we look forward to the Ministry of Science and Technology to clarify these concerns, as well as provide clear guidelines on how to apply and comply when the Law come into force.

We would like to express our thank you and respectfully hope that MOST would support us onwards. /.

Recipients:
- As above;
-Foreign Investment Agency (MPI)
- Embassy of Japan in Vietnam;
- The Japanese Business Association of Ho Chi Minh City;
- The Japan Business Association in Danang City;

THE JAPAN BUSINESS ASSOCIATION IN VIETNAM
Chairman

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Hiroshi KARASHIMA